

In the futures market, we can go both long and short on the asset. Futures market price of the asset moves in line with the cash market asset price. The price changes in both are similar. The difference in results is because we are using leverage and not paying full price for the same. We will have to use futures when we are shorting an asset.

We see that the benefit with futures is that it uses leverage and as a result, the price increase is much faster than the changes in the decrease in prices. However, the downside is that the losses are also incurred at a greater velocity. Also, with futures, we can use more than what we own. As a result, we will have to deploy risk management strategies very carefully, particularly when dealing with futures. We will learn about various forms and types of risk management shortly going ahead.

